



How to get out of credit card debt faster

 Read, 10 minutes

Key takeaways

- The best way to get rid of credit card debt is to develop a plan and stick to it
- Focus on paying off high-interest-rate cards first or cards with the smallest balances
- When you pay more than the monthly minimum, you'll pay less in interest overall

It might be easier than you think to quickly pay off credit card debt. The key is developing a good plan and sticking to it. These strategies can help you plot a course to [get out of credit card debt faster](#).

How do I pay off debt on multiple credit cards?

If you carry a balance on more than one credit card, make sure you always pay at least the minimum on each card. Then focus on [paying down the total balance](#) on one card at a time. **You can choose which card you target in one of two ways:**

✓ High-rate method

Check the interest rate section of your statements to see which credit card charges the highest interest rate. Concentrate on paying off that debt first. This method saves you money by reducing your total interest payments. It also eliminates your debt faster.

✓ Snowball method

With the snowball method, you pay off the card with the smallest balance first. Once you've repaid the balance in full, you take the money you were paying for that debt and use it to help pay down the next smallest balance. This method costs a bit more in time and money, but it has psychological benefits. You may feel a sense of accomplishment after paying off that first card and feel motivated to continue to the next one.



Article continues below

Debt articles



Strategies for paying down debts

Pay off credit card debt faster

Is it smart to pay more than the minimum?

Look at your credit card statement. If you pay the minimum balance on your credit card, it takes you much longer to pay off your bill. If you pay more than the minimum, you'll pay less in interest overall. Your card company is required to chart this out on your statement, so you can see how it applies to your bill. You can also reduce interest charges if you pay your bill as soon as you get it.



Quick tip

Pay as much above the minimum payment as you can to chip away at your balance. Every additional dollar goes toward your balance—and the smaller your balance, the less you have to pay in interest.

How does consolidating debt work?

Consolidating your debt lets you combine several higher-interest balances into one with a lower rate, so you can pay down your debt faster without increasing payment amounts. **Here are two common ways to consolidate debt:**

✓ Transfer balances

Take advantage of a low balance transfer rate to move debt off high-interest cards. Fees are often 3 to 5 percent of the balance you transfer, but the savings from the lower interest rate may often be greater than the transfer fee. Be sure to factor that in when considering this option.

✓ Tap into your home equity

If you have equity in your home, you may be able to use it to pay down card debt. A home equity line of credit may offer a lower rate than what your cards charge. Be aware that closing costs often apply.

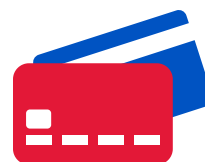
If you do consolidate, keep in mind that it's important to control your spending to avoid racking up new debt on top of the debt you've just consolidated.



SOLUTIONS FROM BANK OF AMERICA

Need to consolidate debt from other lenders? If you don't already have a Bank of America credit card, find one with a low introductory APR on qualifying balance transfers.

Learn more >





How can I free up money to pay off credit card debt?

Start by categorizing your monthly spending, for example: groceries, transportation, housing and entertainment. Your credit card statement can be a helpful tool; many issuers categorize your spending. Look for areas where you can cut back, such as nonessentials like entertainment and dining out, as well as fixed monthly expenses like your car insurance or cell phone plan. You can get ideas by seeing [what people like you are spending on monthly expenses](#). Then take the money you've freed up and apply it to paying down your debt. **Other tactics that may help:**

✓ Pay with cash

One way to manage your overall debt is to consider purchasing things with cash. Using cash or a debit card can help you avoid overspending or making impulse purchases—plus you eliminate any extra fees that may apply when paying with plastic. You'll also have a clear understanding of how much is going out vs. coming in every week or month.

✓ Use financial windfalls

Commit raises, bonuses or other financial windfalls to debt reduction rather than adding these funds to your monthly spending pool. Using this “extra” money to chip away at your debt can help you reach repayment goals faster.



Credit card debt FAQs

How do I avoid getting into credit card debt again?



Start by [creating a budget](#). Getting a handle on your income and expenses can help you take control of your spending and avoid credit card debt.

You may also want to [take a look at why you spend](#). Understanding the feelings behind your actions can help you reduce spending. Other practical steps to avoid credit card debt include:

- Paying with cash, rather than credit cards, whenever possible. If you do use a credit card, try to pay it off every month.
- Deactivating one-click buying. Make yourself type in your credit card every time.

- Instituting a 24-hour cooling off period before buying. Put the item in your cart, but don't click "checkout."

Should I close credit cards after paying them off?



The answer depends on your situation. Closing credit card accounts can temporarily hurt your credit score because it reduces your available credit and the average age of your accounts. If you plan to apply for a car loan or mortgage in the next six months, keep the paid-off accounts open.

If you don't plan to seek new credit, want to avoid a high annual fee or fear a card with zero balance will tempt you to overspend, go ahead and close the account. You can also combat spending temptation by cutting up the card and removing it from shopping sites. That will stop you from using it, while allowing you to get the benefits of keeping the account open. Lastly, many issuers also allow customers to lock their credit card accounts, inhibiting transactions as long as the lock is in place.

Can I use my other credit cards to pay off debt?



You can't directly use one credit card to pay off another. There are other credit card features you could use, but you may end up deeper in debt if you're not careful.

Balance transfer: This can be a good way to consolidate debt on a card with a lower interest rate, potentially reducing your overall costs. But be sure the fees aren't higher than the interest savings, that you don't run up more debt on old card, and that you have a plan to pay off the balance before the low-rate promotion ends.

Cash advance: You could [take a cash advance](#) on one card and use the money to pay off another. But this is generally a bad idea that can put you deeper in debt. Interest on a cash advance begins accruing immediately, rates tend to be high and most credit cards charge fees for advances.

What should I do if I can't pay my credit card bill?



Contact your credit card company immediately. Most will work with you to change your payment schedule, especially if you're in the midst of a financial emergency. Be prepared to tell the card company why you can't make the minimum payment, how much you can pay and when you think you'll be able to resume normal payments. Going forward, you may want to consider credit counseling.

Are credit counselors worth it?



If you're persistently having trouble paying your credit cards, consider contacting [a credit counseling organization](#). Certified counselors can help you create a budget and develop a plan to manage your debt. Typically, the plan consolidates your debt at a lower interest rate and requires you to make a single payment that's less than the sum of your current minimums. Your payment goes to the counseling organization, which then pays each credit card.

Credit counseling organizations are usually not-for-profit and their services are free or low cost. Beware of for-profit debt settlement companies that require you to pay up front. They may be scams. The Consumer Financial Protection Bureau has good guidance on [how to pick a reputable credit counselor](#).

How much debt is too much?



One measure of financial health is your [debt-to-income \(DTI\) ratio](#). It compares your monthly debt payments (including expenses like car loans and mortgage payments) to your monthly gross income. The lower the ratio, the better. Mortgage lenders like to see 36 percent or less. A ratio greater than 50 percent is considered a sign of financial trouble.

Another measure looks only at credit cards. Called the credit utilization ratio, it compares your credit card balances to your available credit. It is the second biggest factor, behind payment history, in [calculating your credit score](#). Lenders generally want balances to be less than 30 percent of [credit limits](#).

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